

Investment Opinion Report



Growth Sense

Startup Overview:

- D2C startup offering premium, sustainable personal care products including reusable cloth diapers and period underwear.
- Founded in 2023 by Shreya Chadalavada, Jahnvi Reddy and celebrity promoter Rakul Preet Singh.
- Seeking to provide safe, eco-friendly alternatives to traditional disposable offerings in baby and feminine care.
- Promising early traction with over 2,800 customers acquired and Rs. 43 Lakhs gross revenue generated in last six months as well as targeting a vast \$4B+ market opportunity in sustainable personal care products.

Problem-Solution:

Problem:

- Each baby **uses around 5,000 disposable diapers** in their growing years which **remain in landfills for over 500 years** in a non-biodegradable state.
- Disposable diapers **contain toxic chemicals** added for absorbency which can **cause rashes and irritation to sensitive baby skin**.
- Using 5,000 disposable diapers **costs 6 times more than reusable cloth diapers**.

Solution for Baby Care:

- NewBoo founders spent 2 years developing a **proprietary blend of bamboo and cotton to create reusable cloth diapers** tailored for Indian babies.
- Through extensive testing, they **achieved overnight absorbency equivalent to disposables** but without any chemicals.

- The diapers are **washable and reusable**, providing an eco friendly alternative to disposables.
- An added advantage is they **remain breathable** and create a gentle, natural experience for babies.

Opportunity in Women Care:

- Postpartum mothers requested a **solution for the heavy bleeding period after delivery**, as available pads contain itch-causing chemicals, lack breathability and need replacing every 4 hours.
- Leveraging their expertise, **NewBoo is launching NewKind**, reusable period underwear utilizing the same absorbent technologies to provide a safer, sustainable option for women's needs as well.
- It appeals to women in postpartum bleeding phase, and teenagers as it is an easy to use product and even heavy bleeders

Startup Profile

**new
boo**

Company Name: NewBoo

Sector: D2C Brand

Website: <https://newboo.in/>

Pitch Deck: [Click Here](#)

Deal Terms

Pre-money Valuations	Floor: Rs. 8 Cr Cap: Rs. 16 Cr
Proposed Fundraise	Rs. 2.5 Cr
Minimum Ticket Size	Cap Table: Rs. 2.5 L (CCPS)

Conversion Terms:

1. Conversion Linked Valuation of Qualifying financing round with **1.5% discount for every month** from the date of current fund raise.
2. **Qualified Financing Amount:** Rs.2.5 Crores
3. **Time Limit for raising Qualified Round:** 24 Months
4. **If QFR is not raised** within time limit, **conversion will happen at floor valuation (i.e. Rs. 8 Crores).**

Industry and Opportunity

Indian Sustainable Personal Care Industry:

- Growing at 15-20% CAGR currently to reach \$1.2-1.7B market by 2028 (Earth5R, Azelis)
- Increasing consciousness about health hazards and plastic waste driving adoption

Baby Care Industry:

- India baby care market: \$2 Bn currently
- Diapers account for 45% share but only 2-3% adoption of cloth diapers (Earth5R)
- Global reusable diaper market growing at 10-12% CAGR (MarketResearch.com)
- 60% of parents interested in eco-friendly options (Earth5R survey)

Feminine Care Industry:

- Indian feminine hygiene market: \$2.5 Bn
- 85% disposable sanitary pad dominance though 3% share for period underwear (BusinessWire)
- Significant growth potential with 20% CAGR rise globally for reusables
- A US-based reusable period underwear brand has already grown to \$160 Mn annual sales. Growth potential for reusables at 20% CAGR.

Products Offerings:



NewBoo - Reusable Diaper:

- Overnight Absorbency
- Waterproof and breathable
- Washable and Resizeable

NewBoo plans to expand its product line to include: Reusable period underwear, 'NewKind'.

Product Video: [Click Here](#)



Business-Revenue Model

Channel	Diapers			Period Care		
	MRP	COGS + Commission	Gross Margin	MRP	COGS + Commission	Gross Margin
Online (D2C)	550	202.50	63%	750	110	85%
Retail	825	202 + 251	45%	799	110+250	55%

Risks

- 1. Intense Competition:** Established players like Pampers and Huggies may offer similar products at competitive prices, making it difficult for NewBoo to gain market share. But as per the founder, it is unlikely for them to enter the cloth diapering market as it will be a direct hit to their business model which thrives on repeat purchases and the single use model.
- 2. Lack of Entry Barrier:** One potential risk for NewBoo lies in the current status of its patent approval. The founder has diligently created a unique product through thorough testing and refinement. This proprietary blend of bamboo and cotton, achieved through extensive research and testing, presents a considerable challenge for competitors looking to replicate the product. The intricate formulation provides NewBoo with a competitive edge even before the patent approval.

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Traction

Rs. 17.50 Lakhs

Monthly Run Rate

60%

Gross Margin

3000+

Customers Served

9/10

Customers polled
“Loved the product”

100%

of revenue from their
D2C website

Rs. 1650+

Avg. Order Value

Positive Indicators

- 1. Large and growing market opportunity:** The reusable diaper and period care market in India is largely untapped at only 1-2% adoption currently. However, it represents a sizable Rs. 1,188 Cr annual opportunity that is expected to grow significantly as awareness and demand increases over time similar to trends globally.
- 2. Proven product-market fit:** NewBoo's strong early traction with 2,800 customers and Rs.1650 average order value validated the need for their premium reusable cloth diapers in India. This proves the product resonates with the target consumers.
- 3. Celebrity Power:** Getting Indian film actress Rakul Preet Singh on board as a co-founder, investor and brand ambassador gives NewBoo huge visibility and credibility out of the gate to enable customer acquisition and scale quickly.
- 4. D2C focus and proven marketing strategies:** Targeting customers directly through their website and leveraging performance marketing tactics that are already driving sales allows them to acquire customers cost-effectively. The marketing approach is working for NewBoo.
- 5. Sustainable growth potential:** The addition of NewKind reusable period care extends SCJR's addressable market while leveraging shared resources more efficiently. The founders also have plans to expand into new categories over time. This sustainability-focused portfolio approach can drive continued exponential revenue growth.

In summary, SCJR is capitalizing on a sizable untapped sector with in-demand products that are proving successful. Their light-asset model and direct marketing focus also position them well for sustainable scaling.

Future Projections (Submitted by the founders)

Rolling 12 Months	Year 1	Year 2	Year 3
Revenue	Rs. 12 Crores	Rs. 52.6 Crores	Rs. 156.7 Crores
Customers	60,000+	2,94,000+	7,56,000+

Utilisation of funds for future projections

Hiring & Ops (35%), Marketing (30%), Inventory (20%), Working Cap (10%), R&D (5%)

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Competitive Landscape

Competitor	Product Focus	Brand Perception	Key Strengths	Potential Challenges for NewBoo
Pampers (Disposable)	Global leader	Well-known, established brand	Extensive distribution, brand recognition	Price competition, brand loyalty
Huggies (Disposable)	Major player	Innovative, reliable	Wide range of product features, brand image	Established brand, price competition
MamyPoko Pants (Disposable)	Affordable option	Popular in India	Budget-friendly, wetness indicators, leak guards	Price sensitivity, brand perception
SuperBottoms (Reusable) (Series A: \$2.6 Mn)	High-quality, innovative	Leading player in India	Strong brand reputation, loyal customer base	Established brand, premium pricing
BumPadum (Reusable)	Eco-friendly, organic materials	Sustainability focused	Affordability, environmental commitment	Brand recognition, competition in value segment
LittleBloom (Reusable) (Fund Raised - Undisclosed Amt)	Innovative designs, sustainability	Growing brand	Unique products, strong online presence	Limited brand awareness, competition in premium segment

Founders



Shreya Chadalavada

Co-founder 

- Bachelor of Science in Biology, from Penn State University
- **Analyst** at Sathguru Management Consultants (advising ventures and companies on business planning, strategy and finance in healthcare sectors)



Jahnavi Reddy

Co-founder 

- Business Management, from Osmania University
- **Financial Analyst**, at D. E. Shaw Group (Hedge Fund)



Rakul Preet Singh

Celebrity Co-founder 

- Large follower base of over **25 million** across social media platforms like Instagram which can be leveraged to drive awareness and sales for NewBoo.

Celebrity Endorsement:
[Click Here](#)

Exit Possibilities

- **Larger Funding Rounds:** Investors may exit through equity sales to major venture capital firms participating in larger funding rounds.
- **Strategic Acquisition:** Exit possibility for investors through stake sales to strategic acquirers or larger players attracted by NewBoo's early financial success.
- **Initial Public Offering (IPO):** Investors can consider exiting through share sales in the event of a successful IPO, capitalizing on NewBoo's market dominance.

Conclusion

NewBoo is at the forefront of building sustainable baby and women care brands in India through innovating in reusable cloth diapers and period care. With proven early success and an aggressive scaling plan, the company is well-poised to carve a large niche in this emerging market.

Why Invest in NewBoo:

1. Market Leadership Potential:

NewBoo pioneers premium, sustainable solutions in a rapidly expanding market, positioning itself as a leader in the eco-conscious personal care sector.

2. Proven Product Efficacy:

With a meticulously crafted blend of bamboo and cotton, NewBoo's products offer unparalleled comfort and effectiveness, backed by extensive research and testing.

3. Celebrity Endorsement and Reach:

Enjoying the support of celebrity co-founder Rakul Preet Singh, NewBoo benefits from increased brand visibility and a direct channel to a wide audience, enhancing market penetration.

4. Diversified Product Portfolio:

From innovative reusable baby diapers to the groundbreaking "NewKind" for women, NewBoo exhibits versatility and foresight in meeting the evolving needs of its diverse consumer base.

5. Environmental Consciousness:

NewBoo not only addresses market demands but also contributes to environmental conservation, aligning with the growing global emphasis on sustainability, making it a socially responsible investment choice.

Social Media Link



Disclaimer

Although Growth Sense performs an extensive business and financial analysis of the proposal, by interaction with founders and take help in relevant experts; views mentioned in the recommendation, represent personal views of the respective lead members, analysts and experts based on the past financial performance, future projections and estimates shared by the start-up. Each investing member should apply their own reasonable judgement based on their risk appetite and individual understanding of the concerned business before taking the investment decision.